

FRMO CORP.

1 North Lexington Avenue, Suite 12C, White Plains, NY 10601

Quarterly Report

August 31, 2018

Item 1 Name of the issuer and its predecessors (if any)

FRMO Corp.
Predecessor: FRM Nexus

Item 2 Address of the issuer's principal executive offices

1 North Lexington Avenue, Suite 12C
White Plains, NY 10601

Phone: 914-632-6730
Email: info@frmocorp.com
Website: www.frmocorp.com

Item 3 Security Information

Common Stock

Trading Symbol: FRMO
CUSIP: 30262F205

Par or Stated Value: \$0.001

Total shares authorized: 90,000,000	As of: August 31, 2018
Total shares outstanding: 43,973,781	As of: August 31, 2018

Preferred Stock:

Trading Symbol: N/A
CUSIP: N/A

Par or Stated Value: \$0.001

Total shares authorized: 2,000,000	As of: August 31, 2018
Total shares outstanding: None	As of: August 31, 2018

Transfer Agent

Broadridge Corporate Issuer Solutions, Inc.
1717 Arch Street, Suite 1300
Philadelphia, PA 19103
Phone: 800-733-1121

Broadridge is registered under the Exchange Act and regulated by the SEC.

Restrictions on the transfer of security

Restricted shares carry the following legend: The shares represented by this certificate have not been registered under the Securities Act of 1933. The shares have been acquired for investment and may not be sold, transferred, pledged or hypothecated in the absence of an effective registration statement for the shares under the Securities Act of 1933 or an opinion of counsel to the company that registration is not required under said Act.

The following table notes changes in total shares outstanding in the past two fiscal years and any interim period, including all offerings of equity securities, debt convertible into equity securities, whether public or private, and all shares or any other securities or options to acquire such securities issued for services.

Issue Date	Number and Type of Securities Issued	Person to Whom Issued	Reason for Issuance	Exemption from Registration	Trading Status	Legended Status
October 6, 2016	Option grant to purchase 5,000 shares of common stock, exercise price of \$4.80 per share	Allan Kornfeld	Director Compensation	Registration of these Shares under the Securities Act of 1933, as amended, is not required pursuant to the exemption provided by Section 4(2) of the Act.	Options are unexercised. Will be restricted upon exercise.	To be legended upon exercise.
October 6, 2016	Option grant to purchase 3,000 shares of common stock, exercise price of \$4.80 per share	Jay Hirschson	Director Compensation	Registration of these Shares under the Securities Act of 1933, as amended, is not required pursuant to the exemption provided by Section 4(2) of the Act.	Options are unexercised. Will be restricted upon exercise.	To be legended upon exercise.
October 5, 2017	Option grant to purchase 5,000 shares of common stock, exercise price of \$6.00 per share	Allan Kornfeld	Director Compensation	Registration of these Shares under the Securities Act of 1933, as amended, is not required pursuant to the exemption provided by Section 4(2) of the Act.	Options are unexercised. Will be restricted upon exercise.	To be legended upon exercise.
October 5, 2017	Option grant to purchase 3,000 shares of common stock, exercise price of \$6.00 per share	Jay Hirschson	Director Compensation	Registration of these Shares under the Securities Act of 1933, as amended, is not required pursuant to the exemption provided by Section 4(2) of the Act.	Options are unexercised. Will be restricted upon exercise.	To be legended upon exercise.
October 5, 2017	Option exercise of 3,000 shares of common stock at price of \$2.25 per share (Grant date: 10/14/10)	Allan Kornfeld	Director Compensation	Registration of these Shares under the Securities Act of 1933, as amended, is not required pursuant to the exemption provided by Section 4(2) of the Act	Shares are restricted for 1 year from issue date.	Shares carry the customary Securities Act of 1933 legend.
February 28, 2018	Option exercise of 17,626 shares of common stock at price of \$1.99 per share (Grant date: 12/16/2009)	Hugh Ross	Employee Incentive	Registration of these Shares under the Securities Act of 1933, as amended, is not required pursuant to the exemption provided by Section 4(2) of the Act	Shares are restricted for 1 year from issue date.	Shares carry the customary Securities Act of 1933 legend.

October 4, 2018	Option grant to purchase 5,000 shares of common stock, exercise price of \$6.87 per share	Allan Kornfeld	Director Compensation	Registration of these Shares under the Securities Act of 1933, as amended, is not required pursuant to the exemption provided by Section 4(2) of the Act.	Options are unexercised. Will be restricted upon exercise.	To be legended upon exercise.
October 4, 2018	Option grant to purchase 3,000 shares of common stock, exercise price of \$6.87 per share	Jay Hirschson	Director Compensation	Registration of these Shares under the Securities Act of 1933, as amended, is not required pursuant to the exemption provided by Section 4(2) of the Act.	Options are unexercised. Will be restricted upon exercise.	To be legended upon exercise.

**FRMO CORPORATION
AND SUBSIDIARIES**

White Plains, New York

CONSOLIDATED FINANCIAL STATEMENTS

Including Report of Independent
Registered Public Accounting Firm

As of August 31, 2018 (Unaudited) and
May 31, 2018 and for the Three Months
Ended August 31, 2018 and 2017 (Unaudited)

Review Report of Independent Registered Public Accounting Firm	1
Consolidated Financial Statements	
Consolidated Balance Sheets	2
Consolidated Statements of Income and Comprehensive Income	3
Consolidated Statement of Stockholders' Equity	4
Consolidated Statements of Cash Flows	5
Notes to Consolidated Financial Statements	6 - 23



REVIEW REPORT OF INDEPENDENT REGISTERED PUBLIC ACCOUNTING FIRM

To the Board of Directors and Stockholders
FRMO Corporation and Subsidiaries
White Plains, New York

We have reviewed the accompanying consolidated balance sheet of FRMO Corporation and Subsidiaries (the "Company") as of August 31, 2018, the related consolidated statements of income and comprehensive income for the three months ended August 31, 2018 and 2017, the consolidated statement of stockholders' equity for the three months ended August 31, 2018, and the consolidated statements of cash flows for the three months ended August 31, 2018 and 2017. These consolidated financial statements are the responsibility of the Company's management.

We conducted our reviews in accordance with the standards of the Public Company Accounting Oversight Board (United States) and in accordance with auditing standards generally accepted in the United States of America. A review of interim financial information consists principally of applying analytical procedures and making inquiries of persons responsible for financial and accounting matters. It is substantially less in scope than an audit conducted in accordance with standards of the Public Company Accounting Oversight Board (United States) and in accordance with auditing standards generally accepted in the United States of America, the objective of which is the expression of an opinion regarding the consolidated financial statements taken as a whole. Accordingly, we do not express such an opinion.

Based on our reviews, we are not aware of any material modifications that should be made to the accompanying interim consolidated financial statements as of August 31, 2018 and for the three months ended August 31, 2018 and 2017 referred to above for them to be in conformity with accounting principles generally accepted in the United States of America.

We have previously audited, in accordance with auditing standards of the Public Company Accounting Oversight Board (United States) and in accordance with auditing standards generally accepted in the United States of America, the consolidated balance sheet of FRMO Corporation and Subsidiaries as of May 31, 2018 (presented herein) and, in our report dated August 13, 2018, we expressed an unqualified opinion on those consolidated financial statements. In our opinion, the information set forth in the accompanying consolidated balance sheet as of May 31, 2018 is fairly stated, in all material respects, in relation to the consolidated financial statements from which it has been derived.

Baker Tilly Virchow Krause, LLP

New York, New York
October 12, 2018

CONSOLIDATED FINANCIAL STATEMENTS

**FRMO CORPORATION
AND SUBSIDIARIES**
CONSOLIDATED BALANCE SHEETS
As of August 31, 2018 and May 31, 2018

ASSETS		
	August 31, 2018 (Unaudited)	May 31, 2018
Current Assets		
Cash and cash equivalents	\$ 53,370,234	\$ 53,617,453
Accounts receivable (due from related parties)	834,012	787,889
Prepaid income taxes	-	168,493
Equity securities, at fair value (cost of \$31,565,034 and \$27,594,316 at August 31, 2018 and May 31, 2018, respectively)	52,619,528	38,522,139
Other assets	197,542	138,357
Total Current Assets	107,021,316	93,234,331
Computer equipment, net of accumulated depreciation of \$27,652 and \$19,204 at August 31, 2018 and May 31, 2018, respectively	76,966	75,711
Investment in South LaSalle Partners, LP at fair value (cost of \$5,762,452 and \$5,766,100 at August 31, 2018 and May 31, 2018, respectively)	6,571,263	6,262,374
Investment in The Bermuda Stock Exchange	2,783,808	2,721,017
Investments in Other Stock Exchanges	739,040	987,620
Investment in Winland Holdings Corporation, at fair value (cost of \$460,435)	653,692	773,062
Investments in managed funds, at fair value (cost of \$18,333,819 and \$17,889,346 at August 31, 2018 and May 31, 2018, respectively)	38,144,354	34,372,340
Investment in Digital Currency Group, Inc.	76,261	76,261
Investments in cryptocurrency mining entities	118,854	112,867
Investment in Horizon Kinetics LLC	11,784,133	11,623,979
Participation in Horizon Kinetics LLC Revenue Stream	10,200,000	10,200,000
Total Assets	<u>\$178,169,687</u>	<u>\$160,439,562</u>
LIABILITIES AND STOCKHOLDERS' EQUITY		
Current Liabilities		
Accounts payable and accrued expenses	\$ 232,712	\$ 193,719
Income taxes payable	396,853	-
Securities sold, not yet purchased (proceeds of \$11,869,596 and \$11,123,013 at August 31, 2018 and May 31, 2018, respectively)	6,585,828	5,495,513
Total Current Liabilities	7,215,393	5,689,232
Deferred tax liability	8,480,177	7,756,622
Total Liabilities	<u>15,695,570</u>	<u>13,445,854</u>
Stockholders' Equity		
Redeemable preferred stock - \$.001 par value; Authorized - 2,000,000 shares; no shares outstanding	-	-
Common stock - \$.001 par value, authorized 90,000,000 shares; Issued and outstanding - 43,973,781 shares	43,973	43,973
Additional paid-in capital	32,953,221	32,527,939
Accumulated other comprehensive income	450,988	3,730,184
Retained earnings	89,614,035	83,108,408
Stockholders' Equity Attributable to the Company	123,062,217	119,410,504
Noncontrolling interests	39,411,900	27,583,204
Total Stockholders' Equity	<u>162,474,117</u>	<u>146,993,708</u>
Total Liabilities and Stockholders' Equity	<u>\$178,169,687</u>	<u>\$160,439,562</u>

See report of independent registered public accounting firm and notes to consolidated financial statements.

FRMO CORPORATION AND SUBSIDIARIES

CONSOLIDATED STATEMENTS OF INCOME AND COMPREHENSIVE INCOME

	Three Months Ended August 31,	
	2018	2017
	(Unaudited)	
REVENUE		
Consultancy, advisory and participation fees	\$ 540,182	\$438,312
Board fees	2,000	800
Dividends and interest income, net	286,041	182,095
Net realized losses from investments	(32,851)	(45,478)
Equity earnings from partnerships and limited liability companies	713,073	1,049,339
Unrealized gains from investments subject to fair value valuation	3,517,698	1,763,574
Equity earnings from investment in The Bermuda Stock Exchange	62,791	12,056
Total revenue before unrealized gains from equity securities	5,088,934	3,400,698
Unrealized gains from equity securities	9,782,938	-
Total Revenue	14,871,872	3,400,698
OPERATING EXPENSES		
Compensation and benefits	25,800	25,800
Professional fees	94,290	88,249
Other expenses	169,824	71,166
Depreciation	8,449	-
Total Expenses	298,363	185,215
Income from Operations before Provision for Income Taxes	14,573,509	3,215,483
Provision for Income Taxes	1,289,369	1,041,409
Net Income	13,284,140	2,174,074
Less net income (loss) attributable to noncontrolling interests	10,073,017	(13,365)
Net Income Attributable to the Company	\$ 3,211,123	\$ 2,187,439
OTHER COMPREHENSIVE INCOME, NET OF TAX		
Net Income	\$ 13,284,140	\$ 2,174,074
Unrealized investment holding gains arising during the period	-	205,082
Income tax benefit related to items of other comprehensive income	-	142,490
Unrealized investment holding gains, net of tax	-	347,572
Comprehensive Income	13,284,140	2,521,646
Less comprehensive income attributable to noncontrolling interests	10,073,017	534,152
Comprehensive income attributable to the Company	\$ 3,211,123	\$ 1,987,494
NET INCOME PER COMMON SHARE		
Basic	\$ 0.07	\$ 0.05
Diluted	\$ 0.07	\$ 0.05
WEIGHTED AVERAGE COMMON SHARES OUTSTANDING		
Basic	43,973,781	43,953,155
Diluted	44,023,435	43,996,620

See report of independent registered public accounting firm and notes to consolidated financial statements.

**FRMO CORPORATION
AND SUBSIDIARIES**

CONSOLIDATED STATEMENT OF STOCKHOLDERS' EQUITY
For the Three Months Ended August 31, 2018 (Unaudited)

	Redeemable Preferred Stock		Common Stock		Additional Paid-In Capital	Accumulated Other Comprehensive Income	Retained Earnings	Stockholders' Equity Attributable to the Company	Non-Controlling Interests	Total Stockholders' Equity
	Shares	Amount	Shares	Amount						
BALANCE - June 1, 2018, as reported	-	\$ -	43,973,781	\$ 43,973	\$ 32,527,939	\$ 3,730,184	\$ 83,108,408	\$ 119,410,504	\$ 27,583,204	\$ 146,993,708
Cumulative effect of adoption of updated accounting guidance for equity financial instruments at June 1, 2018	-	-	-	-	-	(3,294,504)	3,294,504	-	-	-
Balance, June 1, 2018, as adjusted	-	-	43,973,781	43,973	32,527,939	435,680	86,402,912	119,410,504	27,583,204	146,993,708
Non-cash Compensation	-	-	-	-	25,800	-	-	25,800	-	25,800
Capital Accounts of Consolidated Limited Liability Company	-	-	-	-	399,482	-	-	399,482	-	399,482
Change in Unrealized Gains	-	-	-	-	-	15,308	-	15,308	-	15,308
Net Income	-	-	-	-	-	-	3,211,123	3,211,123	10,073,017	13,284,140
Noncontrolling interests	-	-	-	-	-	-	-	-	1,755,679	1,755,679
BALANCE - August 31, 2018	-	\$ -	43,973,781	\$ 43,973	\$ 32,953,221	\$ 450,988	\$ 89,614,035	\$ 123,062,217	\$ 39,411,900	\$ 162,474,117

See report of independent registered public accounting firm and notes to consolidated financial statements.

FRMO CORPORATION AND SUBSIDIARIES

CONSOLIDATED STATEMENTS OF CASH FLOWS For the Three Months Ended August 31, 2018 and 2017

	August 31,	
	2018	2017
	(Unaudited)	
CASH FLOWS FROM OPERATING ACTIVITIES		
Net income	\$ 13,284,140	\$ 2,174,074
Adjustments to reconcile net income to net cash flows from operating activities		
Non-cash compensation	25,800	25,800
Net realized loss from investments	32,851	45,478
Equity earnings from partnerships and limited liability companies	(713,073)	(1,049,339)
Unrealized gains from investments subject to fair value valuation	(3,517,698)	(1,763,574)
Unrealized gains from equity securities	(9,782,938)	-
Equity earnings from investment in The Bermuda Stock Exchange	(62,791)	(12,055)
Non-cash consultancy and advisory fee revenue	(10,114)	-
Depreciation	8,449	-
Deferred income tax expense	723,555	533,954
Changes in operating assets and liabilities:		
Accounts receivable	(46,123)	26,012
Prepaid income taxes	168,493	338,735
Other current assets	(4,185)	(49,639)
Accounts payable and accrued expenses	38,993	64,864
Income taxes payable	396,853	169,175
Net Cash Flows from Operating Activities	542,212	503,485
CASH FLOWS FROM INVESTING ACTIVITIES		
Proceeds from sale of investments	409,646	293,255
Purchases of investments	(2,027,035)	(1,154,084)
Proceeds from securities sold, not yet purchased	2,269,649	1,666,558
Purchases to cover securities previously sold	(1,496,987)	(666,390)
Investments in limited partnerships	-	(20,000)
Purchase of computer equipment	(9,704)	-
Net Cash Flows (used in) from Investing Activities	(854,431)	119,339
CASH FLOWS FROM FINANCING ACTIVITIES		
Proceeds from issuance of other consolidated subsidiary equity	65,000	60,000
Net Cash Flows from Financing Activities	65,000	60,000
Net Change in Cash and Cash Equivalents	(247,219)	682,824
CASH AND CASH EQUIVALENTS, Beginning of Year	53,617,453	51,125,142
CASH AND CASH EQUIVALENTS, END OF YEAR	\$ 53,370,234	\$ 51,807,966
SUPPLEMENTAL DISCLOSURES OF CASH FLOW INFORMATION		
Cash paid during the period for		
Interest	\$ 87,483	\$ 30,129
NONCASH INVESTING ACTIVITIES		
Investment acquired through the contribution of other investments	\$ 2,105,469	\$ 1,898,290

See report of independent registered public accounting firm and notes to consolidated financial statements.

NOTE 1 - Nature of Business

FRMO Corporation ("FRMO" or the "Company") was incorporated in 1993 under the laws of the State of Delaware. In January 2001, FRMO spun off its operations in a transaction accounted for as a reverse pooling of interests. Since that time, FRMO has focused its activities on making strategic investments in public and private companies and providing advisory services to its clients and customers.

Management is experienced in the analysis of public and private companies and securities within a framework of identifying investment strategies and techniques that reduce risk. The Company endeavors to identify and participate in operating assets, particularly in the early stages of the expression of their ultimate value, in ways that are calculated to increase the value of the stockholders' interest in FRMO. Such assets are expected to include, but are not limited to, those whose values and earnings are based on intellectual capital. Of the many varieties of capital upon which investors have earned returns, ranging from real estate to silicon, perhaps the highest returns on capital have been earned on intellectual capital. It is the goal of FRMO to maximize its return on this form of asset. The identification of any business opportunities will follow the process employed by Horizon Kinetics, LLC ("Horizon" or "Horizon Kinetics"), to select and evaluate investment opportunities and strategies. Horizon was co-founded by Murray Stahl and Steven Bregman, officers and principal stockholders of the Company. Horizon is an investment advisory and independent research firm, the research activities serving primarily institutional investors. Horizon provides in-depth analysis of information-poor, under-researched companies and strategies to identify the complex or overlooked situations that can offer an advantage to the investor.

Until April 30, 2011, the Company owned an 8.44% interest in Kinetics Advisers, LLC ("Kinetics Advisers"). Effective May 1, 2011, the members of Kinetics Advisers contributed all of their membership interests in Kinetics Advisers to Horizon Kinetics and, in exchange, Kinetics Advisers members received certain membership interests of Horizon Kinetics and Kinetics Advisers became a wholly-owned subsidiary of Horizon Kinetics (the "Exchange"). As a result of the Exchange, the Company exchanged its original 8.44% membership interest in Kinetics Advisers for a 0.47% membership interest in Horizon Kinetics and a receivable of approximately \$4,814,000, which represented the Company's proportionate shares of fees that were earned and payable to Kinetics Advisers prior to the Exchange (see Note 4). On August 15, 2012, the Company transferred an interest in a revenue stream to Horizon Kinetics in exchange for A-1 units of Horizon Kinetics, increasing the Company's membership interest in Horizon Kinetics to 0.86%. On April 16, 2013, the Company entered into an agreement with Horizon Kinetics to exchange, on or before May 31, 2013, certain privately held units of Horizon Kinetics for common shares of the Company based upon pre-determined prices of each. On May 31, 2013, the Company issued 2,387,715 shares of its common stock to the individual Horizon Kinetics unit sellers in exchange for an additional 4.09% interest in Horizon Kinetics. As a result of the Exchange and subsequent transactions discussed above, FRMO increased its interest in Horizon Kinetics from 0.86% to 4.95% (see Note 5).

The Company earns substantially all of its consulting and advisory fees from Horizon Kinetics as a result of an amendment of its product-specific revenue interests (see Note 4). For the three months ended August 31, 2018 and 2017, fees earned by the Company include fees earned from Horizon Kinetics and other fees derived from assets managed by other parties based on the research of Horizon Kinetics. The Company earns consulting fees pursuant to an agreement with Santa Monica Partners, LP, whose manager is a director and stockholder of the Company.

NOTE 2 - Summary of Significant Accounting Policies

Basis of Presentation

The consolidated financial statements include the accounts of FRMO and its controlled subsidiaries (collectively referred to as the "Company"). Noncontrolling interests on the consolidated financial statements represent the portion of a consolidated subsidiary in which the Company does not have 100% equity ownership. The Company maintains its corporate office in White Plains, New York.

Principles of Consolidation

The consolidated financial statements represent the consolidation of the accounts of FRMO and its subsidiaries in conformity with accounting principles generally accepted in the United States of America ("U.S. GAAP"). All intercompany accounts and transactions have been eliminated in consolidation. Investments in unconsolidated companies (generally 20 to 50 percent ownership), in which the Company has the ability to exercise significant influence but neither has a controlling interest nor is the primary beneficiary, are accounted for under the equity method of accounting. Investments in entities in which the Company does not have the ability to exercise significant influence are accounted for under the cost method of accounting. Under certain criteria indicated in Accounting Standards Codification ("ASC") 810, *Consolidation*, a partially-owned affiliate would be consolidated when it has less than a 50% ownership if the Company is the primary beneficiary of that entity.

Horizon Kinetics Hard Assets LLC ("HKHA") is a New York limited liability company formed by Horizon, and certain officers, principal stockholders and directors of the Company for the purpose of investing in companies that own 'hard assets' with intrinsic value such as commodities including oil, natural gas, precious metals as well as land assets including industrial and commercial real estate, and other similar assets.

From November 1, 2015 through August 31, 2018, the Company acquired interests in HKHA by contributing securities with a fair market value of \$3,212,743. As of August 31, 2018 and May 31, 2018, the Company holds a 13.32% and 12.92% interest, respectively, in HKHA.

Due to the common control and ownership between HKHA and the Company's principal stockholders and directors, HKHA has been consolidated within the Company's financial statements in accordance with the Company's consolidation policy. The noncontrolling interest of 86.68% and 87.08% in HKHA has been eliminated as of August 31, 2018 and May 31, 2018, respectively.

Cash and Cash Equivalents

The Company considers all highly liquid investments with an original maturity of three months or less when purchased to be cash equivalents. At August 31, 2018 and May 31, 2018, the Company had balances in excess of federally insured limits on deposit with financial institutions. At August 31, 2018 the Company had: (1) three accounts with balances of approximately \$11,531,000, \$35,745,000 and \$1,506,000 at one large global financial institution, and (2) one account with a balance of approximately \$4,588,000 at another large global financial institution. The Company has not experienced any losses in such accounts, and management believes that it is not exposed to any significant credit risk on cash and cash equivalents.

NOTE 2 - Summary of Significant Accounting Policies (cont.)

Credit Risk

In the normal course of business, substantially all of the Company's securities transactions, money balances, and security positions are transacted with one broker. The Company is subjected to credit risk to the extent any broker with which it conducts business is unable to fulfill contractual obligations on its behalf. The Company's management monitors the financial condition of such broker and does not anticipate any losses from such counterparty.

Investment Valuation

The Company now accounts for its investments in marketable securities in accordance with ASU 2016-01 "*Financial Instruments*", which requires that equity investments, including limited partnership interests, except those accounted for under the equity method of accounting, that have readily determinable fair value to be measured at fair value with any changes in fair value recognized in net income (see note 3).

Equity marketable securities are reported at their estimated fair values based on quoted market prices or a recognized pricing service, with unrealized gains and losses, included in unrealized gains from equity securities in the consolidated statements of income and comprehensive income. Realized gains and losses are determined on the specific identification method. Equity securities that do not have readily determinable fair values may be measured at estimated fair value or cost less impairment, if any, adjusted for subsequent observable price changes, with changes in the carrying value recognized in net income.

The estimated fair values of financial instruments are determined by the Company using available market information and appropriate valuation methodologies. Considerable judgment is required in interpreting market data to develop the estimates of fair value. Accordingly, the estimates, when presented herein, are not necessarily indicative of the amounts that the Company could realize in a sale. In general, fair values determined by Level 1 inputs utilize quoted prices (unadjusted) in active markets for identical assets or liabilities. Fair values determined by Level 2 inputs utilize data points that are observable such as quoted prices, interest rates, and yield curves, and quoted prices for identical or similar instruments in markets that are not active. Fair values determined by Level 3 inputs are unobservable data points for the asset or liability, and includes situations where there is little, if any, market activity for the asset or liability. The Company does not have Level 3 assets or liabilities.

As of August 31, 2018 and May 31, 2018, investments in limited partnerships and limited liability companies are valued using data inputs from June 30, 2018 and March 31, 2018, respectively, the dates of the most current available information. Management reviews relevant market and related data to reconcile for the period from July 1 through August 31.

Investments in managed funds are recorded at fair value using the practical expedient and in accordance with Accounting Standards Update ("ASU") No. 2015-07, "*Disclosures for Investments in Certain Entities That Calculate Net Asset Value ("NAV") per Share (or Its Equivalent)*", " which removes the requirement to categorize within the fair value hierarchy all investments measured using the net asset value per share as a practical expedient and related disclosures. Changes in unrealized gains from assets subject to NAV are included in unrealized gains from investments subject to fair value valuation in the consolidated statements of income and comprehensive income.

NOTE 2 - Summary of Significant Accounting Policies (cont.)

The Company regularly reviews its investments to evaluate the necessity of recording impairment losses for declines in the fair value of investments.

Investments in Unconsolidated Entities

The Company evaluates investments in other entities for consolidation. The Company considers the percentage interest in the entity, evaluation of control and whether a variable interest entity exists when determining if the investment qualifies for consolidation. Investments in limited liability companies that have separate ownership accounts for each investor greater than three to five percent are accounted for under the equity method of accounting.

For investments in unconsolidated entities utilizing the equity method of accounting, the investment is recorded initially at cost, and subsequently adjusted for all realized income (loss) and all the Company's proportionate share of income or loss ("Equity Earnings"). The Net Income of each investor is allocated in accordance with the provisions of the operating agreement of the entity. The allocation provisions in these agreements may differ from the ownership interest held by each investor. The Company's Equity Earnings in these items are reported as a single line item in operations as income from partnerships and limited liability companies. The unrealized gains and losses of these entities are also reflected in the investment and are included in unrealized gain from investments.

For investments in unconsolidated entities utilizing the cost method of accounting, the investment is recorded initially at cost, and subsequently adjusted for cash contributions and distributions.

On a quarterly basis, the Company assesses whether the value of its investments in unconsolidated entities has been impaired. An investment is impaired only if management's estimate of the fair value of the investment is less than its carrying value, and such decline in value is deemed to be other than temporary. The ultimate realization of the Company's investment in partially owned entities is dependent on a number of factors including the performance of that entity and market conditions. If the Company determines that a decline in the value of a partially owned entity is other than temporary, it will record an impairment charge.

Use of Estimates

The preparation of consolidated financial statements in conformity with U.S. GAAP requires management to make estimates and assumptions that affect the reported amounts of assets and liabilities and disclosure of contingent assets and liabilities at the date of the financial statements and the reported amounts of revenue and expenses during the reporting period. Actual results could differ from those estimates.

Accounts Receivable and Allowance for Doubtful Accounts

In the normal course of business, the Company provides unsecured credit to customers, performs credit evaluations of these customers, and maintains reserves for potential credit losses. In determining the amount of allowance for doubtful accounts, management considers historical credit losses, the past due status of receivables, payment history, and other customer-specific information. The past due status of a receivable is based on its contractual terms. Expected credit losses are recorded as an allowance for doubtful accounts. Receivables are written off when management determines they are uncollectible. An allowance for doubtful accounts is not provided as of August 31, 2018 and May 31, 2018 since, in the opinion of management, all of its accounts are deemed collectible. Accounts receivable as of August 31, 2018 and May 31, 2018 are comprised 100% from one related party.

NOTE 2 - Summary of Significant Accounting Policies (cont.)

Computer Equipment

Computer equipment is reported at cost less accumulated depreciation. Depreciation is provided using the straight-line method over the estimated useful lives of the assets. The Company estimates the useful life for computer equipment is three years.

Securities Sold, not yet purchased

Securities sold, not yet purchased, or securities sold short, represent obligations of the Company to deliver the specified security, and thereby create a liability to repurchase the security in the market at then prevailing prices. Securities sold, not yet purchased are recorded as a liability at fair value.

Other Comprehensive Income

Other comprehensive income refers to revenues, expenses, gains, and losses net of income taxes that, under U.S. GAAP, are included in comprehensive income but are excluded from net income as these amounts are recorded directly as a component of stockholders' equity and consist primarily of unrealized gains (losses).

Revenue Recognition

The Company primarily generates revenue through advisory and consulting fees. The accrual method of accounting is used to record fee income, which is recognized when the advisory and consulting services are performed.

Security transactions are recorded based on a trade date. Dividend income is recognized on the ex-dividend date, and interest income is recognized on an accrual basis. Discounts and premiums on securities purchased are amortized over the life of the respective securities. Realized gains and losses from security transactions are recorded on a specific identification basis.

Revenue from the Company's interest in Horizon Kinetics' gross revenue stream is earned primarily on a month-by-month basis. The Company's share of annual incentive fees earned by Horizon Kinetics, if any, are included in the quarter ended in February when the incentive fees are determinable.

Income (loss) from investments measured at fair value are as follows:

Revenue from investments carried at fair value is earned based upon FRMO's allocated share of each investment's proportionate share of changes in unrealized gains and losses to its partners on a calendar year basis.

Research

Research expenditures, consisting of investment research, are expensed as incurred.

Stock-based Compensation

The Company records compensation expense associated with equity-based compensation in accordance with guidance established by U.S. GAAP. Equity award compensation expense for the three months ended August 31, 2018 and 2017 is the estimated fair value of the grants amortized on a straight-line basis over the service period for the entire portion of the award less an estimate for anticipated forfeitures.

NOTE 2 - Summary of Significant Accounting Policies (cont.)

Income Taxes

The Company files a consolidated federal income tax return with its wholly-owned subsidiary. Material differences between the financial reporting and the tax reporting of the Company's revenue, assets, and liabilities are included in deferred tax assets or liabilities. The income tax provisions and liability for income taxes are based on enacted tax laws and statutory tax rates applicable to the respective periods.

Deferred income tax is recognized using the balance sheet method, providing for temporary differences between the carrying amounts of assets and liabilities for financial reporting purposes and the amounts used for taxation purposes. Deferred income tax is not recognized for differences relating to investments in subsidiaries and jointly controlled entities to the extent that they probably will not reverse in the foreseeable future. Deferred income tax is measured at the tax rates that are expected to be applied to the temporary differences when they reverse, based on the laws that have been enacted or substantively enacted by the reporting date.

A deferred tax asset is recognized to the extent that it is probable that future taxable profits will be available against which temporary differences can be utilized. Deferred tax assets are reviewed at each reporting date and are reduced to the extent that it is no longer probable that the related tax benefit will be realized.

The Company follows the relevant provisions of U.S. GAAP concerning uncertainties in income taxes, which clarifies the accounting for uncertainty in tax positions and requires that the Company recognize in its consolidated financial statements the impact of an uncertain tax position, if that position has a more-likely-than-not chance of not being sustained on audit, based on the technical merits of that position.

All interest and penalties are expensed as incurred. Tax returns for the years ended May 31, 2015 and forward are still subject to examination. The Company has evaluated its tax position and determined that no provision for uncertainty in income taxes is necessary as of August 31, 2018 and May 31, 2018.

Subsequent Events

The Company has evaluated all subsequent events from the date of the consolidated balance sheets through October 12, 2018, which represents the date these consolidated financial statements are available to be issued.

NOTE 3 - Adoption of New Accounting Pronouncements

In January 2016, the FASB issued ASU 2016-01 – Financial Instruments – Overall (Subtopic 825-10): Recognition and Measurement of Financial Assets and Financial Liabilities (“ASU 2016-01”). Effective June 1, 2018, the Company has early adopted the provisions of ASU 2016-01. The updated guidance requires equity investments, except those accounted for under the equity method of accounting or use the practical expedient, that have readily determinable fair value to be measured at fair value with any changes in fair value recognized in net income. Equity securities that do not have readily determinable fair values may be measured at estimated fair value or cost less impairment, if any, adjusted for subsequent observable price changes, with changes in the carrying value recognized in net income. A qualitative assessment for impairment is required for equity investments without readily determinable fair values. The updated guidance also eliminates the requirement to disclose the method and significant assumptions used to estimate the fair value of financial instruments measured at amortized cost on the balance sheet. The updated guidance was effective for the quarter ended August 31, 2018. The adoption of this guidance resulted in the recognition of approximately \$3,295,000 of net after-tax unrealized gains on equity

NOTE 3 - Adoption of New Accounting Pronouncements (cont.)

investments as a cumulative effect adjustment that increased retained earnings as of June 1, 2018 and decreased accumulated other comprehensive income ("AOCI") by the same amount. At May 31, 2018, equity investments were classified as available-for-sale on the Company's balance sheet. The updated guidance eliminated the available-for-sale balance sheet classification for equity investments. After adoption the Company now reports changes in the fair value of equity investments in net unrealized gains from equity securities in the consolidated statements of income and comprehensive income. Accordingly, for the three months ended August 31, 2018, aggregate net unrealized gain from investments of approximately \$13,301,000 in the consolidated statements of income and comprehensive income included approximately \$9,783,000 from the fair value change of equity securities.

The Company has determined that all other recently issued accounting pronouncements will not have a material impact on its consolidated financial position, results of operations and cash flows, or do not apply to its operations.

NOTE 4 - Participation Interest

In 2013, the Company amended the terms of its product-specific revenue interests in the following products managed by Horizon Kinetics and its subsidiaries: (i) a mutual fund, (ii) two private investment funds, (iii) a consultative relationship with an institutional investor and, (iv) an institutional separate account. Since then, FRMO now receives a single revenue interest (the "Revenue Interest") equal to 4.199% of the gross revenues of Horizon Kinetics. This revenue interest now represents substantially all of the "Consultancy and advisory fees" included in operations for the three months ended August 31, 2018 and 2017.

The 4.199% Revenue Interest had an estimated fair value of \$10,200,000 as determined by an independent valuation and is shown as "Participation in Horizon Kinetics LLC revenue stream" in the consolidated balance sheets.

As a result of this transaction, the Company realized a gain of approximately \$10,057,000 in 2013. Income taxes of approximately \$2,861,000 on the gain are deferred pursuant to Section 1031 of the Internal Revenue Code relating to "like-kind exchanges" and are included in "Deferred tax liability" in the consolidated balance sheets as of August 31, 2018 and May 31, 2018, respectively.

NOTE 5 - Investments*Limited Partnerships and Limited Liability Companies and Equity Investments*

The Company's investments in limited partnerships and limited liability companies and equity investments consist of the following as of August 31, 2018 and May 31, 2018:

	As of August 31, 2018 (Unaudited)		
	Cost or (Proceeds)	Unrealized Gains	Fair Value
Equity Securities	<u>\$ 31,565,034</u>	<u>\$ 21,054,494</u>	<u>\$ 52,619,528</u>
Investments in limited partnerships:			
Investment in South LaSalle Partners, LP	<u>\$ 5,762,452</u>	<u>\$ 808,811</u>	<u>\$ 6,571,263</u>
Investments in managed funds			
Horizon Multi-Strategy Fund, LP	\$ 7,580,333	\$ 8,630,930	\$ 16,211,263
CDK Partners, LP	1,163,942	1,499,079	2,663,021
Polestar Fund, LP	8,984,828	9,671,325	18,656,153
Multi-Disciplinary Fund, LP	584,462	26	584,488
Kinetics Institutional Partners, LP	9,851	6,088	15,939
Shepherd I, LP	10,403	3,087	13,490
Total Investments in Managed Funds	<u>\$ 18,333,819</u>	<u>\$ 19,810,535</u>	<u>\$ 38,144,354</u>
Investment in Winland Holdings Corporation	<u>\$ 460,435</u>	<u>\$ 193,257</u>	<u>\$ 653,692</u>
Securities sold, not yet purchased (liability)	<u>\$ (11,869,596)</u>	<u>\$ 5,283,768</u>	<u>\$ (6,585,828)</u>

NOTE 5 - Investments (cont.)

	As of May 31, 2018		
	Cost or (Proceeds)	Unrealized Gains	Fair Value
Equity Securities	<u>\$ 27,594,316</u>	<u>\$ 10,927,823</u>	<u>\$ 38,522,139</u>
Investments in limited partnerships:			
Investment in South LaSalle Partners, LP	<u>\$ 5,766,100</u>	<u>\$ 496,274</u>	<u>\$ 6,262,374</u>
Investments in managed funds			
Horizon Multi-Strategy Fund, LP	\$ 7,404,988	\$ 7,184,641	\$ 14,589,629
CDK Partners, LP	1,163,817	1,287,583	2,451,400
Polestar Fund, LP	8,719,529	7,999,522	16,719,051
Multi-Disciplinary Fund, LP	580,852	4,530	585,382
Kinetics Institutional Partners, LP	9,819	4,223	14,042
Shepherd I, LP	10,341	2,495	12,836
Total Investments in Managed Funds	<u>\$ 17,889,346</u>	<u>\$ 16,482,994</u>	<u>\$ 34,372,340</u>
Investment in Winland Holdings Corporation	<u>\$ 460,435</u>	<u>\$ 312,627</u>	<u>\$ 773,062</u>
Securities sold, not yet purchased (liability)	<u>\$ (11,123,013)</u>	<u>\$ 5,627,500</u>	<u>\$ (5,495,513)</u>

The Company's investment capital in South LaSalle Partners, LP may be withdrawn as of the last day of each calendar quarter by providing the general partner with 60 days advance written notice. The general partner, in its sole discretion, may permit withdrawals at other times or otherwise modify or waive such withdrawal conditions and requirements, including any notice period, for any or all of the limited partners at any time without notice to or the consent of the limited partners. An entity, related by common ownership, is a member of both the general partner and the Manager of South LaSalle Partners, LP.

The Company's investment capital in the Horizon Multi-Strategy Fund, LP may be withdrawn on 45 days prior written notice to the general partner, and the Company may redeem all or part of its capital account on the last day of each calendar quarter. Redemptions may be settled in cash or, at the discretion of the general partner, through in-kind distributions of portfolio securities, the fair market value of which would satisfy the redemption request. An entity, related by common ownership, is a member of both the general partner and the manager of Horizon Multi-Strategy Fund, LP.

The Company's investment capital in CDK Partners, LP (formerly known as Croupier Fund, LP) may be withdrawn as of the last day of each month by providing the general partner with 60 days advance written notice. The general partner, in its sole discretion, may permit withdrawals at other times or otherwise modify or waive such withdrawal conditions and requirements. All withdrawal amounts may be paid in cash or in kind (or a combination thereof), in the general partner's sole discretion.

NOTE 5 - Investments (cont.)

The Company's investment capital in CDK Partners, LP (formerly known as Croupier Fund, LP) may be withdrawn as of the last day of each month by providing the general partner with 60 days advance written notice. The general partner, in its sole discretion, may permit withdrawals at other times or otherwise modify or waive such withdrawal conditions and requirements. All withdrawal amounts may be paid in cash or in kind (or a combination thereof), in the general partner's sole discretion.

The Company's investment capital in Polestar Fund, LP may be withdrawn as of the last day of each month (or such other dates as the general partner in its discretion shall determine) by providing the general partner with 45 days advance written notice, with the minimum amount to be withdrawn of \$100,000. The general partner may, in its sole discretion, allow redemptions that do not comply with the above requirements; however, such redemptions may be subject to a penalty equal to up to 2% of the redemption amount requested. All withdrawal amounts may be paid in cash or in kind (or a combination thereof), in the general partner's sole discretion. An entity, related by common ownership, is a member of both the general partner and the manager of Polestar Fund, LP.

The Company's investment in the Multi-Disciplinary Fund, LP may be withdrawn as of the last business day of any calendar quarter upon at least 45 days advance written notice to the general partner, and in such other amounts and at such other times as the general partner may determine in its sole discretion. The minimum amount to be withdrawn is \$50,000. Partial withdrawals may not be made without the general partner's consent if they would reduce the investor's capital account balance below \$100,000. All withdrawals shall be deemed made prior to the commencement of the following calendar quarter. The general partner has discretion to waive or vary these terms. An entity, related by common ownership, is a member of both the general partner and the manager of Multi-Disciplinary Fund, LP.

The Company's investment in Kinetics Institutional Partners, LP may be withdrawn upon 20 days prior notice to the general partner, on the last business day of each calendar month at the then net asset value, less any applicable accrued incentive allocations as of the previous valuation date, or at such other times at the general partner's discretion, to make a partial or total withdrawal from the Company's capital accounts (subject to the right of the general partner, in its sole discretion, to waive such withdrawal restrictions).

The Company's investment in Shepherd I, LP may be withdrawn on 45 days prior written notice to the general partner, in whole or in part, from the Company's capital account, as adjusted for net profits and net losses, as of the last business day of June and December of each year, subject to a minimum transaction amount of \$10,000 (or the balance of the capital account if less than \$10,000) or at such other times and in such other amounts as the general partner shall determine in its sole discretion. Without the consent of the general partner, which may be given or withheld in its sole discretion, no partial withdrawal may be made that would reduce the Company's residual balance in its capital account below \$250,000. All redemptions will take into account the applicable performance allocation, if any, due to the general partner. Withdrawals are not permitted unless the interest has been held for at least six months as of the withdrawal date. The general partner, in its sole discretion, may waive any of these withdrawal requirements.

The Company's investment in Winland Holdings Corporation is recorded as a non-current asset due to its limited trading activity and the possible inability of the Company to sell all of the shares owned within a one-year period.

NOTE 5 - Investments (cont.)

*Investments in Unconsolidated Entities*Cryptocurrency Mining Entities

The following are the Company's investments in unconsolidated cryptocurrency mining entities as of August 31, 2018 and May 31, 2018:

	August 31, 2018 (Unaudited)	May 31, 2018
HK Cryptocurrency Mining, LLC	\$ 68,854	\$ 62,867
Horatio Mining, LLC	50,000	50,000
Total	<u>\$ 118,854</u>	<u>\$ 112,867</u>

HK Cryptocurrency Mining, LLC.

The Company holds a 1.43% interest in HK Cryptocurrency Mining, LLC ("HKCCM"), which is accounted for using the cost method of accounting. The Company acquired its interest in HKCCM from Horizon for \$68,854 on September 1, 2017.

Horatio Mining, LLC.

The Company holds a 50% interest in Horatio Mining, LLC ("HM"), which is accounted for using the equity method of accounting. The Company acquired its interest in HM for \$50,000 on May 20, 2018.

The following are the Company's investments in other unconsolidated entities accounted for using the cost method of accounting:

Other Stock Exchanges

Investments in other stock exchanges consist of the following as of August 31, 2018 and May 31, 2018:

	August 31, 2018 (Unaudited)	May 31, 2018
OneChicago, LLC	\$ 246,000	\$ 246,000
CNSX Markets, Inc.	243,040	243,040
Miami International Holdings, Inc.	250,000	250,000
National Stock Exchange Holdings, Inc.	-	248,580
Total	<u>\$ 739,040</u>	<u>\$ 987,620</u>

The Company holds a 1.41% interest in CNSX Markets, Inc. and less than a 1.00% interest in other stock exchanges.

NOTE 5 - Investments (cont.)

Digital Currency Group, Inc.

The Company holds less than a 1.00% in Digital Currency Group, Inc. The Company acquired 353 shares of Digital Currency Group, Inc. for \$76,261 on February 26, 2016.

The following are the Company's investments in unconsolidated entities accounted for using the equity method of accounting:

The Bermuda Stock Exchange

Pursuant to an offer to the members of the Bermuda Stock Exchange ("BSX"), the Company acquired 509,114 shares of BSX (37.57%) for a total consideration of \$2,370,515 on April 16, 2014. On February 27, 2015, FRMO acquired an additional 33,940 shares of BSX from existing shareholders for \$154,521. The additional shares purchased increased FRMO's investment in BSX to 40.08% effective March 2, 2015.

Horizon Kinetics LLC

The Company holds a 4.95% interest in Horizon Kinetics (see Note 1).

Securities Sold, not yet purchased

Securities sold, not yet purchased, or securities sold short, consist of equity securities that the Company has borrowed and sold. The Company is required to "cover" its short sales in the future by purchasing the security at prevailing market prices and delivering it to the counterparty from which it borrowed the security. The Company is exposed to loss in the event that the price at which a security may have to be purchased to cover a short sale exceeds the price at which the borrowed security was sold short. Securities sold, not yet purchased are recorded as a liability at fair value. A gain, limited to the price at which the Company sold the investment short, or a loss, unlimited in amount, will be recognized upon the cover of the short sale.

Investment Concentration

As of August 31, 2018 and May 31, 2018, the Company had one investment in an equity security held directly and indirectly, through its various investments in limited partnerships and limited liability companies, amounting to 17.6% and 12.6%, respectively, of stockholders' equity attributable to the Company ("Equity"). None of the Company's other direct or indirect investments were greater than 10% of Equity.

NOTE 6 - Fair Value Measurements

The Company follows "Fair Value Measurements" for its financial assets and liabilities that are re-measured and reported at fair value at each reporting period, and non-financial assets and liabilities that are re-measured and reported at fair value at least annually.

The following tables present information about the Company's assets and liabilities that are measured at fair value on a recurring basis as of August 31, 2018 and May 31, 2018, and indicates the fair value hierarchy of the valuation techniques the Company utilized to determine such fair values.

In accordance with ASC Subtopic 820-10, certain investments that are measured at fair value using the net asset value per share (or its equivalent) practical expedient have not been classified in the fair value hierarchy. The fair value amounts presented in this table are intended to permit reconciliation of the fair value hierarchy to the amounts presented in the consolidated balance sheets.

In accordance with the fair value accounting requirements, companies may choose to measure eligible financial instruments and certain other items at fair value. The Company has elected the fair value option for its investments on an investment-by-investment basis at the time each investment is initially recognized in the financial statements or upon an event that gives rise to a new basis of accounting for these items. The Company has elected the fair value option for its investment in Winland Holdings Corporation.

As of August 31, 2018 (Unaudited)					
Fair Value Measurements at Reporting Date Using					
Quoted Prices					
	Investments	in Active	Significant	Significant	
	Measured	Markets	Other	Unobservable	
	at	for Identical	Observable	Inputs	
	Net Asset	Assets	Inputs	Inputs	
Total	Value	(Level 1)	(Level 2)	(Level 3)	
Assets (at fair value):					
Money Market Mutual Funds					
included in Cash					
and Cash Equivalents	\$ 48,782,592	\$ -	\$ 48,782,592	\$ -	\$ -
Other Investments:					
Equity Securities	\$ 53,273,220	\$ -	\$ 52,619,528	\$ 653,692	\$ -
Investments in Unconsolidated					
Limited Partnerships	44,715,617	44,715,617	-	-	-
Total Other Investments	\$ 97,988,837	\$ 44,715,617	\$ 52,619,528	\$ 653,692	\$ -
Liabilities (at fair value):					
Common Stocks	\$ 6,585,828	\$ -	\$ 6,585,828	\$ -	\$ -

NOTE 6 - Fair Value Measurements (cont.)

	As of May 31, 2018			
	Fair Value Measurements at Reporting Date Using			
	Quoted Prices			
	Investments Measured at Net Asset Value	in Active Markets for Identical Assets (Level 1)	Significant Other Observable Inputs (Level 2)	Significant Unobservable Inputs (Level 3)
	Total	Value	(Level 1)	(Level 2)
Assets (at fair value):				
Money Market Mutual Funds included in Cash and Cash Equivalents	\$ 49,454,004	\$ -	\$ 49,454,004	\$ -
Other Investments:				
Equity Securities	\$ 39,295,201	\$ -	\$ 38,522,139	\$ 773,062
Investments in Unconsolidated Limited Partnerships	40,634,714	40,634,714	-	-
Total Other Investments	\$ 79,929,915	\$ 40,634,714	\$ 38,522,139	\$ 773,062
Liabilities (at fair value):				
Common Stocks	\$ 5,495,513	\$ -	\$ 5,495,513	\$ -

NOTE 7 - Income Taxes

The Company files a consolidated federal income tax return and a combined state/city tax return with its wholly-owned subsidiary, Fromex Equities Corp. The Company records adjustments related to prior years' taxes during the period when they are identified, generally when the tax returns are filed. The effect of these adjustments on the current and prior periods (during which the differences originated) is evaluated based upon quantitative and qualitative factors and are considered in relation to the consolidated financial statements taken as a whole for the respective periods. These adjustments have not been significant to the Company's financial statements.

On December 22, 2017, the Tax Cuts and Jobs Act of 2017 (the "Act"), was enacted by the U.S. federal government. The Act provides for significant changes to corporate taxation including the decrease of the federal corporate tax rate to 21% in the fiscal year ending May 31, 2018. The Company's fiscal year ending May 31, 2018, had a blended federal corporate tax rate of 28.62%, which is based on the applicable tax rates and the number of days before and after the Act. Beginning June 1, 2018, Company's tax rate was reduced to 21% in accordance with the Act.

NOTE 7 - Income Taxes (cont.)

The provision for income taxes is comprised of the following for the three months ended August 31:

	Three Months Ended August 31,	
	2018	2017
	(Unaudited)	
Current		
Federal	\$ 399,150	\$ 408,004
State and City	166,664	99,451
Total Current	<u>565,814</u>	<u>507,455</u>
Deferred		
Federal	761,436	786,261
State and City	(37,881)	(252,307)
Total Deferred	<u>723,555</u>	<u>533,954</u>
Total Provision for Income Taxes	<u>\$ 1,289,369</u>	<u>\$ 1,041,409</u>

Deferred tax assets and liabilities are determined using the enacted tax rates applicable to the period the temporary differences are expected to be recovered. Accordingly, the current period income tax provision is affected by the enactment of new tax rates. The net deferred income taxes on the balance sheets reflect temporary differences between the carrying amounts of the assets and liabilities for financial reporting purposes and income tax purposes, tax effected at a various rates depending on whether the temporary differences are subject to federal taxes, state and city taxes, or both.

Upon completion of the 2017 U.S. income tax return in 2018 the Company may identify additional re-measurement adjustments to its recorded deferred tax liabilities and the one-time transition tax. The Company will continue to assess its provision for income taxes as future guidance is issued, but do not currently anticipate significant revisions will be necessary. Any such revisions will be treated in accordance with the measurement period guidance outlined in Staff Accounting Bulletin No. 118.

NOTE 7 - Income Taxes (cont.)

The tax effects of temporary differences which give rise to the deferred tax liability consist of the following as of August 31 and May 31, 2018:

	August 31, 2018 (Unaudited)	May 31, 2018
Deferred Tax Liability		
Investments in limited partnerships	\$ -	\$ 95,958
Investment in unconsolidated limited liability companies	199,804	181,946
Deferral of gain from like-kind exchange	2,861,312	2,861,312
Unrealized gain from investments	5,419,061	4,475,351
Unrealized gain from investments included in other comprehensive income	<u>-</u>	<u>142,055</u>
Total Deferred Tax Liability	<u>\$ 8,480,177</u>	<u>\$ 7,756,622</u>

The Company has accounted for the material impacts of the Act by re-measuring its deferred tax liabilities at the 21% enacted tax rate as of May 31, 2018.

NOTE 8 - Net Income Per Common Share and Per Common Share Equivalent

Basic and diluted earnings per common share is calculated by dividing net income allocated to common stock by the weighted average common shares outstanding during the period. The weighted average number of shares of common stock used in the calculation of diluted earnings per share is adjusted for the dilutive effects of potential common shares including the assumed exercise of vested stock options based on the treasury stock method. Assumed exercise or conversion of potential common shares is only when the weighted average market price for the period exceeds the exercise price and the conversion price, and that the entity records earnings from continuing operations, as the inclusion of such adjustments would otherwise be anti-dilutive to earnings per share from continuing operations.

Potential common shares consist of the following for the three months ended August 31:

	2018 (Unaudited)	2017 (Unaudited)
Unexercised Stock Options	<u>99,000</u>	<u>111,626</u>

As of August 31, 2018 and 2017 there were 83,000 and 79,626 vested options, respectively, with an exercise price below the weighted average market price of the Company's common stock during the period.

NOTE 8 - Net Income Per Common Share and Per Common Share Equivalent (cont.)

The reconciliation of the weighted average number of common shares used in the calculation of basic and diluted earnings per common share follows for the three months ended August 31:

	2018	2017
	(Unaudited)	
Weighted Average Common Shares Outstanding	43,973,781	43,953,155
Effect of Dilutive Securities, common share equivalents:		
Exercise of stock options	<u>49,654</u>	<u>43,465</u>
Dilutive Potential Common Share Equivalents	<u>44,023,435</u>	<u>43,996,620</u>

NOTE 9 - Noncash Compensation

Noncash compensation expense represents a notional salary allocation for the Company's senior officers. The officers of the Company are responsible for all of the Company's operations and have agreed to not draw any cash salaries for an indefinite period. Noncash compensation expense is recorded as an increase to additional paid-in capital.

NOTE 10 - Stockholders' Equity

Redeemable Preferred Stock

The number of authorized Series R preferred shares is 5,000 with a par value of \$.001 per share. These shares are each convertible to 1,000 shares of the Company's common stock at the option of either the Company or the holder. The Company is required to redeem them at \$1,000 per share upon the request of a holder. These shares have one vote per share on all matters that common stock can vote upon. Upon liquidation, there is preference to the extent of \$1,000 per share. No dividends may be paid on common stock unless a dividend per share of 1,000% of common stock dividends is paid on the preferred stock. There were no shares of preferred stock outstanding as of August 31, 2018 and May 31, 2018.

NOTE 10 - Stockholders' Equity (cont.)

Stock Options

A summary of option activity as of August 31, 2018, and changes during the three months then ended, is as follows:

<i>Stock Options</i> (Unaudited)	Number of Shares	Weighted Average Exercise Price Per Share	Weighted Average Remaining Contractual Term	Aggregate Intrinsic Value
Outstanding at June 1, 2018	99,000	\$ 4.00	2.64	\$ 427,700
Granted	-	-	-	-
Exercised	-	-	-	-
Forfeited	-	-	-	-
Outstanding at August 31, 2018	<u>99,000</u>	<u>\$ 4.00</u>	<u>2.39</u>	<u>\$ 342,540</u>
Vested and Exercisable at August 31, 2018	<u>99,000</u>	<u>\$ 4.00</u>	<u>2.39</u>	<u>\$ 342,540</u>

All stock options were vested as of August 31, 2018 and May 31, 2018.

The aggregate intrinsic value of options outstanding and options exercisable at August 31, 2018 and May 31, 2018 is calculated as the difference between the exercise price of the underlying options and the market price of FRMO's common stock for the shares that had exercise prices that were lower than the \$7.25 and \$8.25 closing price of FRMO's common stock on August 31, 2018 and May 31, 2018, respectively.

As of August 31, 2018, there was no unrecognized compensation cost related to unvested options.

Item 6 Describe the Issuer's Business, Products and Services**A. A description of the issuer's business operations:**

The corporation is an intellectual capital firm identifying and managing investment strategies and business opportunities.

B. Date and State of Incorporation:

Issuer is a Corporation incorporated in the state of Delaware in November 1993

C. The Issuer's primary SIC Code:

SIC Code: 6719 – Holding Company

D. The Issuer's fiscal year end date:

Fiscal year end is May 31

E. Principal Products or Services, and their Markets:

Holding Company

Item 7 Describe the Issuer's Facilities

Company leases fully furnished office space from Horizon Kinetics LLC at 1 North Lexington Avenue, Suite 12C, White Plains, New York 10601. The lease term is one year renewable for consecutive one year periods until terminated.

Item 8 Officers, Directors, and Control Persons**A. Names of Officers, Directors, and Control Persons**

Name of Director/Officer	Title
Murray Stahl	Chairman, CEO, Beneficial owner of more than 10%
Steven Bregman	President, CFO, Director, Beneficial owner of more than 10%
Peter Doyle	Vice President, Director, Beneficial owner of more than 5%
Lawrence J. Goldstein	Director, Beneficial owner of more than 5%
Lester J. Tanner	Director
Allan Kornfeld	Director
Jay P. Hirschson	Director
John C. Meditz	Beneficial owner of more than 10%
Thomas C. Ewing	Beneficial owner of more than 10%
Jay Kessler	General Counsel
Therese Byars	Corporate Secretary

B. Legal/Disciplinary History

1. A conviction in a criminal proceeding or named as a defendant in a pending criminal proceeding (excluding traffic violations and other minor offenses);

None

2. The entry of an order, judgment, or decree, not subsequently reversed, suspended or vacated, by a court of competent jurisdiction that permanently or temporarily enjoined, barred, suspended or otherwise limited such person's involvement in any type of business, securities, commodities, or banking activities;

None

3. A finding or judgment by a court of competent jurisdiction (in a civil action), the Securities and Exchange Commission, the Commodity Futures Trading Commission, or a state securities regulator of a violation of federal or state securities or commodities law, which finding or judgment has not been reversed, suspended, or vacated; or

None

4. The entry of an order by a self-regulatory organization that permanently or temporarily barred suspended or otherwise limited such person's involvement in any type of business or securities activities.

None

C. Beneficial Shareholders

The following table provides information as of August 31, 2018 concerning the beneficial ownership or control of our Common Stock by all persons known by us who beneficially own more than ten percent (10%) of any class of our equity securities.

Name	Title	Number of Shares	Percentage of Shares
Murray Stahl FRMO Corp. 1 North Lexington Ave, Suite 12C White Plains, NY 10601	Chairman, CEO	7,164,912	16.3%
Steven Bregman FRMO Corp. 1 North Lexington Ave, Suite 12C White Plains, NY 10601	President, CFO, Director	6,912,970	15.7%
John C. Meditz Horizon Kinetics LLC 470 Park Avenue South New York, NY 10016	Control Person	7,139,851	16.2 %
Thomas C. Ewing Horizon Kinetics LLC 1111 Metropolitan Ave, Suite 750 Charlotte, NC 28204	Control Person	4,608,558	10.5%

Item 9 Third Party Providers

1. Legal Counsel

Morris Simkin
Law Office of Morris Simkin
60 East 42nd Street, Suite 1101, New York, NY 10017
Phone: (212) 455-0476 | Email: msimkin@securitiesregslawyer.com

2. Accountant or Auditor

John Basile, Engagement Partner
Baker Tilly Virchow Krause, LLP
One Penn Plaza, Suite 3000, New York, NY 10119
Phone: (212) 697-6900 | Email: John.Basile@bakertilly.com

Item 10 Issuer Certification

I, Murray Stahl, certify that:

1. I have reviewed this Quarterly Report of FRMO Corp.;
2. Based on my knowledge, this disclosure statement does not contain any untrue statement of a material fact or omit to state a material fact necessary to make the statements made, in light of the circumstances under which such statements were made, not misleading with respect to the period covered by this disclosure statement; and
3. Based on my knowledge, the financial statements, and other financial information included or incorporated by reference in this disclosure statement, fairly present in all material respects the financial condition, results of operations and cash flows of the issuer as of, and for, the periods presented in this disclosure statement.

Dated: October 12, 2018

/s/ Murray Stahl
Chairman & CEO

I, Steven Bregman, certify that:

1. I have reviewed this Quarterly Report of FRMO Corp.;
2. Based on my knowledge, this disclosure statement does not contain any untrue statement of a material fact or omit to state a material fact necessary to make the statements made, in light of the circumstances under which such statements were made, not misleading with respect to the period covered by this disclosure statement; and
3. Based on my knowledge, the financial statements, and other financial information included or incorporated by reference in this disclosure statement, fairly present in all material respects the financial condition, results of operations and cash flows of the issuer as of, and for, the periods presented in this disclosure statement.

Dated: Dated: October 12, 2018

/s/ Steven Bregman
President & CFO